

Anuj Puri, Chairman of real estate consultant Anarock Group, says that an estimated ₹12,000 per sq. ft could be the cost of land and construction alone. Then there is running cost. According to Parineeta Cecil Lakra, Country People & Culture Manager at IKEA India, it takes nearly 1,000 people to run its large-format stores. Comparatively, leading industry players like Godrej Interio or Pepperfry have so far launched their largest stores measuring about 10,000 sq. ft in markets like Bengaluru and Delhi.

But it is not just the stores that guzzle IKEA's funds. Being in the furniture business means setting up and maintaining large warehouses and fulfilment centres closer to key markets in top metros. Apart from keeping logistics

costs in check, these centres also allow swift delivery. As the company now plans to venture into Delhi-NCR, Pulverer says setting up a fulfilment centre in the region would be imperative before IKEA opens its doors to consumers. After setting up its flagship large-format stores in Hyderabad, Mumbai and Bengaluru, IKEA's next big move is expected to come in Noida and Gurugram. But unlike other cities, here the company is planning to open shops inside high-street malls that will be built by its parent Ingka Group.

**G**ODREJ INTERIO'S Nagarkar is, however, unfazed by IKEA's massive plans. "Players like IKEA coming in will further accelerate

the shift from the unorganised to organised sector, because consumers would be inclined to explore what all is available before making their decision. And IKEA definitely carries its brand name and global reputation," he says. Godrej Interio, the largest player in the branded furniture market with ₹2,500 crore in annual sales, has chalked out its own expansion plan. The company, which has some 1,200 outlets including 500 branded stores, now aims to add 100 outlets every year. According to Nagarkar, the company expects its sales to grow at 20-25 per cent a year, up from its current rate of 15-20 per cent. "The next goal is to be at ₹3,000 crore yearly sales. And eventually, in the next three to five years, take it in the direction of about

## SHAKY START

IKEA India has been incurring losses for the past few years

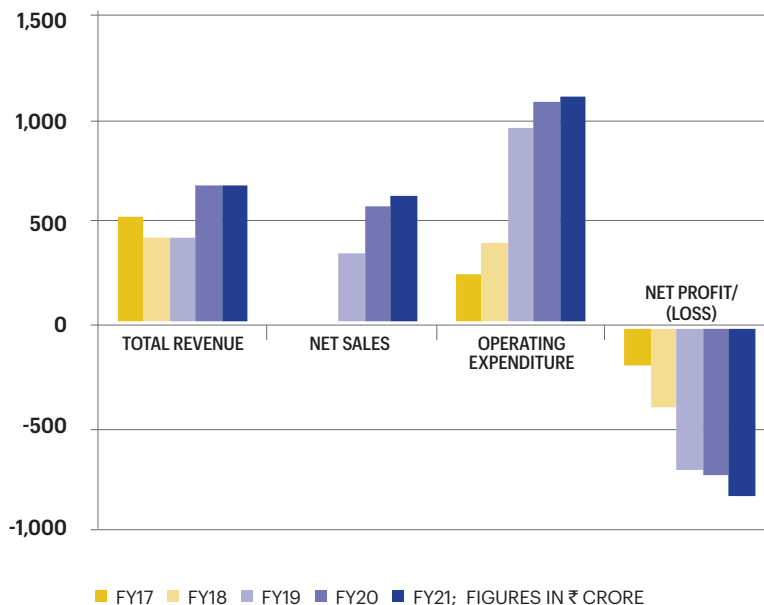


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